Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

4.1 Types of Goods

Producer goods and consumer goods

■ Types of goods classified by uses:

Producer goods (Capital goods)	Consumer goods
• They are goods **used in a production process to produce other goods and services**. • They do not directly satisfy human wants.	• They are goods **used for final consumption**. • They directly satisfy human wants.

A good used for production can also be used for consumption and vice versa.

Private goods and public goods

■ Types of goods classified by rivalry and excludability in consumption:

Private goods	Public goods:
• They are goods which are both ①**rival and** ②**excludable in consumption**. • **Rival in consumption**: They **cannot be consumed concurrently by many individuals at the same time without reducing the amount available for other persons**. • **Excludable in consumption**: It is **possible to prevent others from using the goods**.	• They are goods which are **both** ①**non-rival and** ②**non-excludable in consumption**. Their **consumption is concurrent in nature**. • **Non-rival in consumption**: - **Consumption of the goods by one person does not reduce the amount available to others**. - **The additional cost of serving a public good to an extra consumer is zero.** • **Non-excludable in consumption**: It is **too costly to exclude others from consuming the goods**.

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4.2 Production

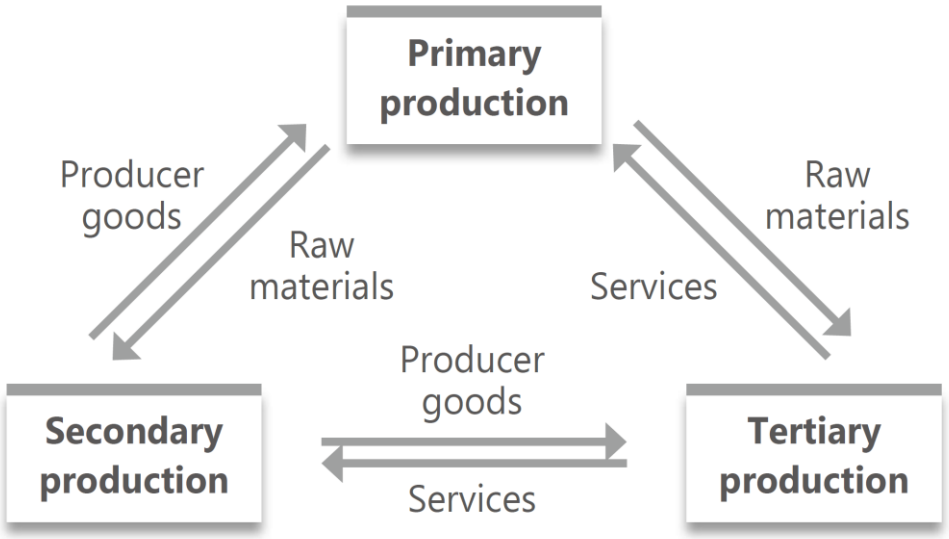
- **Production** is the process of turning inputs, or factors of production, into output.

Types of production

Primary production	Secondary production	Tertiary production
It refers to those activities that **extract raw materials from nature**.	It refers to those activities that **turn raw materials into semi-finished or finished goods**.	It refers to those activities that **provide different kinds of services**.

Production may not involve monetary payments or market transactions.

Interdependence of the three types of production



Production in Hong Kong

- The tertiary sector has expanded.
- The primary and secondary sectors have become less significant.

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4.3 Division of Labour

- **Division of labour** (**Specialisation**) is a practice in which **workers specialise in producing a good or in a stage of production of a good**.

Types of division of labour

Simple division of labour	Complex division of labour	Regional division of labour
A worker specialises in producing a particular good.	A worker specialises in a particular stage of the production of a good.	A district or region specialises in producing a particular good or in a particular production stage of a good.

Advantages of division of labour

- Increasing (average) labour productivity
  - Choosing the best people to do the job
  - Practice makes perfect (learning by doing)
  - Saving time on training
  - Saving time on moving from one task to another
  - Stimulus to mechanisation
- Economy in the use of capital
- Improving standard of living

Disadvantages of division of labour

- Work becomes monotonous
- Greater risk of unemployment
- Greater degree of interdependence
- Loss of craftsmanship
- Standardisation of products

Limitations of division of labour

- Nature of the product: It would be difficult to practise division of labour when producing products that require originality and uniqueness.
- Size of the market: Division of labour may not be needed when the market is small.

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